

TY2025 Forward Federal Tax Research Report for Closely Held Businesses and Owners

Executive summary

The TY2025-forward federal planning environment is now dominated by Public Law 119-21, commonly referred to as the One, Big, Beautiful Bill Act, which materially changes depreciation, domestic research expensing, information reporting, estate and gift tax planning, international tax computations, and enforcement rules for closely held businesses and their owners ([Public Law 119-21](#)). For advisor files, the most important distinction is timing: several benefits apply beginning in 2025, several owner-level and international changes begin in 2026, and IRS implementation remains incomplete for several high-dollar provisions ([IRS OBBBA provisions page](#)).

For TY2025, closely held businesses should prioritize asset acquisition timing, § 179 and bonus depreciation modeling, domestic R&E method-change decisions, Form 1099-K reporting expectations, ERC claim triage, S corporation wage documentation, and foreign trust or foreign gift disclosure reviews ([Rev. Proc. 2025-28 in IRB 2025-38](#); [IRS Form 1099-K OBBBA FAQ](#); [IRS ERC OBBBA FAQ](#)). For TY2026, owners should prepare for a \$15 million basic exclusion amount, new § 199A mechanics, higher § 179 indexing, the \$2,000 information-reporting threshold under § 6041, and revised international tax rules, including NCTI/FDDEI terminology and foreign tax credit changes ([Rev. Proc. 2025-32](#); [Public Law 119-21](#)).

The practical advisory conclusion is that OBBBA reduces some sunset pressure but does not reduce audit pressure. S corporation reasonable compensation, partnership self-employment tax positions, family entity valuation, foreign reporting, ERC claims, and estate inclusion issues remain live controversy areas, while new IRS notices and proposed regulations should be monitored before large transactions are completed ([IRS S corporation officer compensation guidance](#); [Connelly v. United States](#); [IRS foreign trust reporting requirements](#)).

TY2025 business tax changes

Status map: 2025, 2026, and open guidance

Topic	Current law for TY2025	Known change for TY2026 or later	Guidance status
Bonus depreciation	100% additional first-year depreciation generally applies to qualified property acquired after Jan. 19, 2025; property acquired before Jan. 20, 2025 remains under prior phase-down rules (Notice 2026-11 release).	Permanent 100% regime continues, subject to elections and class-level planning (Public Law 119-21).	Notice 2026-11 provides interim reliance on existing bonus depreciation regulations while implementation continues (Notice 2026-11 release).

Topic	Current law for TY2025	Known change for TY2026 or later	Guidance status
§ 179 expensing	The § 179 limit is increased to \$2.5 million with a \$4 million phaseout threshold for property placed in service in taxable years beginning after Dec. 31, 2024 (Public Law 119-21).	For 2026, the inflation-adjusted § 179 cap is \$2,560,000 and the phaseout threshold is \$4,090,000 (Rev. Proc. 2025-32).	Existing § 179 taxable-income limits, entity/owner-level limitations, and vehicle limits still require return-level modeling (IRS Publication 334).
Qualified production property	New § 168(n) permits an elected 100% allowance for qualified production property placed in service after enactment and before Jan. 1, 2031, subject to construction and use rules (Public Law 119-21).	The placed-in-service window continues through 2030 for qualifying property (Notice 2026-16 release).	Notice 2026-16 is interim guidance, and Treasury/IRS requested comments before proposed regulations (Notice 2026-16 release).
Domestic R&E	New § 174A allows current deduction of domestic research or experimental expenditures paid or incurred in taxable years beginning after Dec. 31, 2024; foreign R&E remains amortized over 15 years (Rev. Proc. 2025-28 in IRB 2025-38).	Small business retroactive elections and recovery of unamortized domestic amounts may affect 2022-2026 filings, with key amended-return/AAR deadlines by July 6, 2026 (Rev. Proc. 2025-28 in IRB 2025-38).	Rev. Proc. 2025-28 supplies method-change and election procedures, but expressly states that no inference should be drawn for several prior-law treatment questions (Rev. Proc. 2025-28 in IRB 2025-38).
§ 163(j) business interest	OBBBA modifies § 163(j), including restoration of depreciation, amortization, and depletion addbacks to adjusted taxable income for post-2024 taxable years (Public Law 119-21).	Coordination with interest capitalization provisions and certain international income addbacks apply to taxable years beginning after Dec. 31, 2025 (Public Law 119-21).	Regulations or guidance are expected for business-interest coordination under new § 163(j) (10) (Public Law 119-21).
Form 1099-K	The third-party settlement organization threshold is restored to more than \$20,000 and more than 200 transactions (IRS Form 1099-K OBBBA FAQ).	Backup withholding alignment applies for calendar years beginning after Dec. 31, 2024 (Public Law 119-21).	Proposed regulations and FAQs require monitoring for platforms and sellers (IRS OBBBA provisions page).
§ 6041 information reporting	The general \$600 threshold remains relevant for many 2025 reporting contexts (IRS Publication 334).	For payments made after Dec. 31, 2025, § 6041(a) increases the threshold to \$2,000, with later inflation indexing (Public Law 119-21).	Systems should be updated for 2026 payment-year tracking and backup-withholding coordination (Public Law 119-21).
ERC claims	Section 70605 prevents certain post-enactment ERC allowances or refunds for Q3/Q4 2021 claims filed after Jan. 31, 2024 (IRS ERC OBBBA FAQ).	The statute also extends assessment limitations and adds promoter diligence penalties (Public Law 119-21).	Advisors should preserve mailing/proof-of-filing evidence and evaluate appeal rights if Letter 105-C is issued (IRS ERC OBBBA FAQ).

Depreciation and capital expenditure planning

OBBBA makes 100% bonus depreciation permanent for qualified property acquired after Jan. 19, 2025, and Notice 2026-11 states that taxpayers may generally rely on existing additional first-year depreciation regulations while applying the amended law ([Notice 2026-11 release](#)). The main workpaper issue for TY2025 is split-period asset tracking because property acquired and placed in service before Jan. 20, 2025 may remain subject to the 40% rate while later property can qualify for 100% treatment ([IRS Publication 463](#)).

Section 179 is now more useful for smaller capital programs because the statutory cap increased to \$2.5 million with a \$4 million phaseout for property placed in service in taxable years beginning after Dec. 31, 2024 ([Public Law 119-21](#)). For 2026, the inflation-adjusted limit is \$2,560,000 and the phaseout threshold is \$4,090,000, while the SUV amount is \$32,000 ([Rev. Proc. 2025-32](#)).

New § 168(n) is a separate manufacturing and production incentive, not merely a bonus depreciation extension, because it applies to elected qualified production property that is generally nonresidential real property used as an integral part of qualified production activity ([Public Law 119-21](#)). Notice 2026-16 states that qualified production property generally must be placed in service after July 4, 2025 and before Jan. 1, 2031, and that taxpayers may rely on interim guidance until proposed regulations are issued ([Notice 2026-16 release](#)).

Research, software, and method-change planning

New § 174A permits current deduction of domestic research or experimental expenditures paid or incurred in taxable years beginning after Dec. 31, 2024, and it permits an election to capitalize and amortize domestic R&E over at least 60 months ([Rev. Proc. 2025-28 in IRB 2025-38](#)). Foreign R&E remains subject to 15-year amortization under amended § 174, making cross-border development location and cost-sharing workpapers more important for owner-managed businesses with offshore engineering, software, or product-development teams ([Rev. Proc. 2025-28 in IRB 2025-38](#)).

Small business taxpayers that satisfy the § 448(c) gross receipts test may elect retroactive application of § 174A treatment for domestic R&E paid or incurred after Dec. 31, 2021 and before Jan. 1, 2025, and Rev. Proc. 2025-28 uses a \$31 million 2025 gross-receipts threshold for the test ([Rev. Proc. 2025-28 in IRB 2025-38](#)). The key deadline for amended returns or AARs making the small-business OBBBA election, late § 280C(c)(2) election, or revocation is July 6, 2026, subject to shorter § 6511 deadlines for certain 2022 years ([Rev. Proc. 2025-28 in IRB 2025-38](#)).

Reporting, estimated tax, and refund-claim implications

Form 1099-K relief is meaningful but should not be confused with income exclusion, because the OBBBA threshold change relieves third-party settlement organizations from filing unless both the \$20,000 and 200-transaction thresholds are exceeded ([IRS Form 1099-K OBBBA FAQ](#)). Closely held businesses using marketplaces should continue to reconcile gross receipts from platform statements, accounting records, Forms 1099-K, and bank deposits because underreporting exposure remains even when no Form 1099-K is issued ([IRS Form 1099-K OBBBA FAQ](#)).

For ERC, the highest-risk client file is a pending or booked Q3/Q4 2021 claim filed after Jan. 31, 2024, because the IRS FAQ states that section 70605(d) prevents allowance or refund after July 4, 2025 for those late claims even if the employer otherwise met eligibility requirements ([IRS ERC OBBBA FAQ](#)). If an ERC claim is disallowed under section 70605(d), the IRS will issue Letter 105-C and the taxpayer may appeal if it believes the claim was timely filed on or before Jan. 31, 2024 and improperly disallowed ([IRS ERC OBBBA FAQ](#)).

Owner-level implications

Pass-through income, QBI, and owner compensation

Section 199A remains central to owner-level planning because many owners of sole proprietorships, partnerships, S corporations, and some trusts and estates may deduct up to 20% of QBI, plus eligible REIT dividends and PTP income, subject to taxable income, W-2 wage, UBI, SSTB, and other limitations ([IRS QBI deduction page](#)). OBBBA section 70105 changes the phase-in ranges and adds a minimum deduction rule for active qualified business income, with the amendments applying to taxable years beginning after Dec. 31, 2025 ([Public Law 119-21](#)).

For 2025, Rev. Proc. 2024-40 sets QBI threshold amounts at \$394,600 for married filing jointly and \$197,300 for other returns, with phase-in ranges ending at \$494,600 and \$247,300 respectively ([Rev. Proc. 2024-40](#)). For 2026, Rev. Proc. 2025-32 sets QBI thresholds at \$403,500 for joint returns, \$201,775 for married filing separately, and \$201,750 for all other returns, with phase-in range amounts of \$553,500, \$276,775, and \$276,750 respectively ([Rev. Proc. 2025-32](#)).

S corporation owner-operators remain exposed on reasonable compensation because IRS guidance states that corporate officers performing services are employees, payments for those services are wages, and the shareholder's status as an owner does not change the wage requirement ([IRS S corporation officer compensation guidance](#)). The IRS guidance also cites case law in which distributions, dividends, loan repayments, and personal-expense payments were treated as wages or compensatory payments when paid to shareholder-employees performing substantial services ([IRS S corporation officer compensation guidance](#)).

Retirement, cash flow, and private-client coordination

The 2025 business-owner file should coordinate entity-level deductions with owner-level taxable income, QBI thresholds, § 461(l) excess business loss limits, retirement plan contributions, self-employed health insurance, and estimated taxes because many of these items affect QBI or the owner's effective marginal rate ([IRS QBI deduction page](#); [Rev. Proc. 2024-40](#)). Rev. Proc. 2024-40 sets the 2025 excess business loss threshold at \$313,000, or \$626,000 for joint returns, while Rev. Proc. 2025-32 sets 2026 thresholds at \$256,000 and \$512,000 for joint returns under the revised indexing framework ([Rev. Proc. 2024-40](#); [Rev. Proc. 2025-32](#)).

For self-employed clients, OBBBA's working-person deductions should be evaluated only after confirming statutory eligibility and reporting mechanics because IRS Publication 334 states that the qualified overtime and qualified tips deductions are claimed on Schedule 1-A rather than Schedule C ([IRS Publication 334](#)). For small business owners with personal vehicle debt, the OBBBA car-loan interest deduction may be relevant only for personal-use qualified passenger

vehicles, and Notice 2025-57 transition relief applies to businesses required to report qualified passenger vehicle loan interest received in 2025 ([IRS Notice 2025-57 transition relief release](#)).

Estate and gift tax changes

2025 transfer tax amounts

For 2025, the basic exclusion amount is \$13,990,000 for estates of decedents dying in calendar year 2025 ([Rev. Proc. 2024-40](#)). The 2025 annual exclusion is \$19,000 per donee, and the annual exclusion for gifts to a spouse who is not a U.S. citizen is \$190,000 ([Rev. Proc. 2024-40](#)).

For 2025 estates involving farms or closely held real property, the § 2032A special use valuation maximum aggregate decrease is \$1,420,000 ([Rev. Proc. 2024-40](#)). For installment estate tax planning under § 6166, advisors should separately model business-interest and liquidity consequences because transfer-tax values, buy-sell agreements, and entity-owned insurance may affect both estate tax and redemption funding after Connelly ([Connelly v. United States](#)).

2026 OBBBA transfer tax changes

OBBBA amends § 2010(c)(3) by increasing the basic exclusion amount to \$15,000,000 for estates of decedents dying and gifts made after Dec. 31, 2025 ([Public Law 119-21](#)). The IRS estate and gift tax update page confirms that OBBB was signed into law on July 4, 2025 as Public Law 119-21 and that it increases the basic exclusion amount to \$15,000,000 for calendar year 2026 ([IRS estate and gift tax update page](#)).

For 2026, the annual gift exclusion remains \$19,000 and the non-citizen spouse annual exclusion increases to \$194,000 ([IRS 2026 inflation announcement](#)). Rev. Proc. 2025-32 also lists the 2026 § 2032A special use valuation cap at \$1,460,000 and the § 6166 2-percent portion amount at \$1,940,000 ([Rev. Proc. 2025-32](#)).

Planning effect

The increased 2026 exclusion reduces urgency for some “use it or lose it” 2025 gifting, but it does not eliminate planning value where clients expect appreciation, creditor exposure, concentrated business risk, state estate tax exposure, or multigenerational transfer goals. The advisor file should distinguish federal exemption planning from valuation, cash-flow, governance, and non-tax succession reasons for lifetime transfers.

Large lifetime gifts remain useful when the transfer shifts future appreciation, removes business value from the estate, or supports succession planning, but documentation is now more important because valuation discounts, § 2036 retained-enjoyment arguments, and buy-sell agreement pricing remain enforcement-sensitive. Connelly confirms that corporate-owned life insurance used to fund a redemption can increase corporate value for estate tax purposes and that a redemption obligation does not necessarily offset the insurance proceeds ([Connelly v. United States](#)).

Domestic planning strategies

Succession, valuation, and buy-sell agreements

Closely held business succession plans should be reviewed for entity-owned life insurance, redemption obligations, formula pricing, funding sufficiency, and compliance with § 2703 valuation principles because the Supreme Court held in *Connelly* that a corporation's contractual obligation to redeem shares did not reduce corporate value where life insurance proceeds increased the corporation's fair market value ([Connelly v. United States](#)). The practical workpaper should compare redemption agreements, cross-purchase agreements, partnership/LLC buy-sell arrangements, insurance LLCs, and trust ownership where appropriate.

Family entity transfers should be stress-tested for retained rights and liquidity facts because § 2036 risk can undermine discounts when the transferor retains enjoyment, control, or effective access to transferred assets. *Estate of Fields*, T.C. Memo. 2024-90, is a recent Tax Court reminder that deathbed transfers, insufficient retained assets, and weak non-tax purpose can lead to estate inclusion and loss of intended discount benefits, although advisors should review the opinion and appellate history directly before relying on it in a filing position ([Weinstock Manion summary](#)).

Grantor trusts, nongrantor trusts, and installment sales

Grantor trust planning remains valuable for income tax burn, substitution-power planning, and installment sales to intentionally defective grantor trusts, but business-owner files should document note economics, valuation, seed capital, cash flow, interest rate selection, and business purpose. The expanded 2026 exclusion reduces sunset-driven pressure, but it can make 2026 a cleaner year for properly documented transfers if valuations, appraisals, and governance are ready.

Nongrantor trust planning should be integrated with § 199A, state income tax, DNI, charitable planning, and foreign-reporting issues. The IRS QBI page expressly includes some trusts and estates as possible eligible taxpayers, but QBI is still subject to the domestic qualified trade or business rules and owner-level limitations ([IRS QBI deduction page](#)).

Farmland and family business exit planning

New § 1062 permits an election to pay the net income tax attributable to gain from a qualified sale or exchange of qualified farmland property to a qualified farmer in four equal annual installments ([Public Law 119-21](#)). The property must meet U.S. farmland use or lease requirements during substantially all of the 10-year period ending on the sale date and must be subject to a 10-year covenant restricting non-farm use ([Public Law 119-21](#)).

Foreign and treaty-related issues

Treaty, FTC, and outbound ownership planning

The IRS treaty page provides treaty-by-country access and cautions that treaty benefits vary by income item and country, and that many treaties contain a saving clause preventing U.S. citizens or residents from using a treaty to avoid U.S. tax on U.S.-source income ([IRS U.S. income tax treaties page](#)). Treaty planning for owner-operators should therefore be issue-specific: residency, permanent establishment, business profits, dividends, interest, royalties, pensions, dependent personal services, saving clauses, limitation-on-benefits provisions, and state conformity must be reviewed before advising.

Individuals, estates, and trusts use Form 1116 to claim foreign tax credits for certain foreign taxes paid or accrued to a foreign country or U.S. possession ([IRS Form 1116 page](#)). Corporations use Form 1118 to compute their foreign tax credit for certain foreign taxes paid or accrued to foreign countries or U.S. possessions, including schedules for separate limitation categories and foreign tax redeterminations ([IRS Form 1118 page](#)).

OBBBA modifies international tax rules effective generally for taxable years beginning after Dec. 31, 2025, including changes to § 904, § 960 deemed paid credits, § 250 deduction terminology and percentages, § 951A net CFC tested income terminology, BEAT, look-through rules, downward attribution, new § 951B, and pro rata share rules ([Public Law 119-21](#)). Closely held domestic corporations and U.S. owners of foreign corporations should refresh CFC ownership, tested income, FTC limitation, branch, and intercompany payment models before 2026 estimated-tax planning.

Foreign gifts, inheritances, and Form 3520

U.S. persons receiving more than \$100,000 from a nonresident alien individual or foreign estate during the year generally must report the foreign gift or bequest on Form 3520, and purported gifts from foreign corporations or partnerships are reportable above \$20,116 for 2025 and \$20,573 for 2026 ([IRS foreign gifts page](#)). Form 3520 is generally due by the 15th day of the fourth month after year-end, with special June 15 timing for certain taxpayers abroad and an extension no later than the 15th day of the 10th month following year-end ([IRS foreign gifts page](#)).

The penalty under § 6039F(c) for failing to timely and accurately report foreign gifts is 5% of the gift or bequest for each month the failure continues, capped at 25%, unless reasonable cause applies ([IRS foreign gifts page](#)). Foreign gifts and inheritances should also be screened for Form 8938, FBAR, covered expatriate, foreign trust, and PFIC issues before the client is told “no U.S. tax” because disclosure and income tax consequences can arise independently ([IRS foreign gifts page](#); [IRS foreign trust reporting requirements](#)).

Foreign trusts, Forms 3520 and 3520-A, and covered expatriate transfers

The IRS foreign trust page states that U.S. persons creating or transferring property to foreign trusts, treated as owners of foreign trusts, receiving distributions from foreign trusts, or receiving certain large foreign gifts may have Forms 3520 and 3520-A obligations under § 6048, plus possible Form 8938 and FBAR obligations ([IRS foreign trust reporting requirements](#)). The 2025 Form 3520 instructions state that the initial § 6677 penalty is generally the greater of \$10,000 or 35% of the gross value transferred to a foreign trust or distributions received from a foreign trust, and 5% of the gross value of the U.S.-owned portion if Form 3520-A reporting fails ([Instructions for Form 3520](#)).

Exceptions exist for Canadian RRSPs/RRIFs, certain Rev. Proc. 2020-17 tax-favored foreign trusts, and certain trusts described in the 2024 proposed § 6048 regulations, but the IRS instructions caution that these exemptions do not eliminate other reporting obligations ([Instructions for Form 3520](#)). The proposed § 6048 regulations may be relied on for tax years ending after May 8, 2024 and beginning on or before final regulations, if the taxpayer and related persons apply the proposed regulations in their entirety and consistently ([Instructions for Form 3520](#)).

Final § 2801 regulations, effective Jan. 14, 2025, provide rules for U.S. citizens, residents, domestic trusts, and certain foreign trusts receiving covered gifts or covered bequests from covered expatriates ([Instructions for Form 708](#)). Form 708 instructions state that the § 2801 tax is computed annually, that covered gifts and covered bequests are reduced by the § 2801(c) annual exclusion amount of \$19,000 for 2025 and 2026, and that the tax is generally 40% of net covered gifts and covered bequests ([Instructions for Form 708](#)).

FBAR and FATCA coordination

A U.S. person, including a citizen, resident, corporation, partnership, LLC, trust, or estate, must file an FBAR if the person has a financial interest in or signature authority over foreign financial accounts exceeding \$10,000 in aggregate at any time during the calendar year ([IRS FBAR page](#)). The FBAR is due April 15 with an automatic extension to October 15, and late filing can trigger civil or criminal penalties depending on facts and circumstances ([IRS FBAR page](#)).

Tax controversy, litigation, and enforcement developments

Business-owner controversy themes

Issue	Authority or development	Advisor takeaway
S corporation wages	IRS guidance states shareholder-officers performing services are employees and payments for services are wages (IRS S corporation officer compensation guidance).	Maintain annual reasonable-compensation analyses, payroll records, W-2 filings, officer duties, time records, and distribution history.

Issue	Authority or development	Advisor takeaway
Partnership SECA	Recent Tax Court decisions and commentary apply a functional analysis to determine whether limited partners are passive investors or limited partners in name only, including Soroban Capital Partners LP v. Commissioner, T.C. Memo. 2025-52, and Denham Capital Management LP v. Commissioner, T.C. Memo. 2024-114 (Current Federal Tax Developments ; KPMG analysis).	Review active limited partner allocations, guaranteed payments, capital accounts, management rights, service roles, and industry-specific income generation.
Buy-sell valuation	Connelly held that corporate-owned life insurance proceeds can increase corporate value and are not necessarily offset by redemption obligations (Connelly v. United States).	Revalue redemption-funded agreements and model cross-purchase alternatives.
Foreign trust and gift penalties	Form 3520 instructions impose high § 6677 penalties and narrow reasonable-cause relief for foreign trust reporting failures (Instructions for Form 3520).	Treat foreign gifts, foreign pensions, foreign trusts, and foreign family transfers as intake triggers.
ERC enforcement	OBBBA section 70605 limits refunds, extends assessment windows, and adds promoter diligence penalties (Public Law 119-21).	Inventory pending claims, booked receivables, promoter involvement, wage addbacks, and appeal deadlines.

Enforcement posture and audit exposure

The IRS foreign trust page warns that failure to satisfy foreign trust information reporting can result in significant penalties and an extended period to assess tax related to the information ([IRS foreign trust reporting requirements](#)). For internationally connected owners, the most common audit-file gap is not the technical treaty position but the missing information-return package: Form 3520, Form 3520-A, Form 8938, FBAR, Form 5471, Form 8865, Form 8858, Form 8621, and related statements should be screened annually.

Post-OBBBA implementation also creates procedural risk because many taxpayer-favorable provisions require timely elections, statements, method changes, or amended returns. Rev. Proc. 2025-28 is particularly sensitive because its small-business retroactive election and § 280C election procedures include exact legends, statement content, and July 6, 2026 deadlines ([Rev. Proc. 2025-28 in IRB 2025-38](#)).

Planning opportunities and action items

Domestic small business owners

- **Depreciation modeling:** Build a 2025 asset schedule separating Jan. 1-19 acquisitions from post-Jan. 19 acquisitions, and compare § 179, bonus depreciation, and regular MACRS by entity and owner.
- **R&E recovery:** Identify domestic R&E capitalized in 2022-2024, confirm § 448(c) eligibility, and decide whether to amend/AAR by July 6, 2026 under Rev. Proc. 2025-28.
- **S corporation compensation:** Document duties, hours, market salary data, officer status, payroll timing, distributions, and fringe benefits before year-end.
- **Information reporting:** Update vendor onboarding and 2026 reporting systems for the post-2025 § 6041 threshold increase while maintaining 2025 compliance procedures.

- **ERC review:** Reconcile all ERC claims, refund receipts, disallowance letters, wage-expense addbacks, promoter contracts, and proof-of-filing evidence.

Internationally connected owners and families

- **Treaty review:** Analyze treaty residency, saving clause, permanent establishment, withholding, and state conformity before relying on treaty relief.
- **Foreign gifts:** Screen for Form 3520 when foreign individual or estate gifts exceed \$100,000, and when foreign corporation or partnership gifts exceed \$20,116 for 2025 or \$20,573 for 2026.
- **Foreign trusts:** Determine whether Forms 3520/3520-A are required, whether Rev. Proc. 2020-17 or proposed § 6048 relief applies, and whether FBAR/Form 8938 duties remain.
- **Covered expatriates:** Ask whether foreign donors, decedents, settlors, or trust funders relinquished U.S. citizenship or long-term residency after June 16, 2008, and consider protective Form 708 where facts are incomplete.
- **CFC and FTC modeling:** Recompute 2026 international tax projections for NCTI/FDDEI terminology, § 960 deemed-paid credit changes, § 904 limitation rules, and § 951B ownership rules.

Estate-planning-sensitive clients

- **2025 to 2026 transfer timing:** Do not rush large gifts solely because of sunset concerns; instead compare 2025 exemption use, 2026 \$15 million exclusion planning, asset appreciation, valuation date, and family governance.
- **Business succession:** Revisit entity-owned life insurance, redemption agreements, cross-purchase structures, and insurance LLCs after Connelly.
- **Valuation file:** Obtain qualified appraisals, update operating agreements, document non-tax business purposes, and preserve liquidity outside family entities.
- **Trust integration:** Coordinate grantor trust status, swap powers, note sales, GST allocation, QTIP elections, beneficiary reporting, and state fiduciary income tax.
- **Noncitizen spouse planning:** Use the 2025 \$190,000 and 2026 \$194,000 non-citizen spouse annual exclusion amounts and evaluate QDOT or other marital planning where appropriate.

Primary authorities and source list

Authority	Key rule or relevance
Public Law 119-21	OBBA statutory text for § 199A, § 2010(c)(3), § 168(k), § 168(n), § 174A, § 179, § 163(j), § 461(l), § 6041, § 6050W, § 1062, ERC enforcement, and international tax reforms.
IRS OBBA provisions page	IRS implementation hub for OBBA business, clean energy, community development, information reporting, R&E, remittance, and other provisions.
Rev. Proc. 2024-40	2025 inflation-adjusted amounts, including estate exclusion, annual gift exclusion, non-citizen spouse exclusion, § 179, § 199A, § 461(l), § 448(c), and foreign gift threshold.

Authority	Key rule or relevance
Rev. Proc. 2025-28 in IRB 2025-38	Procedures for § 174A domestic R&E elections, method changes, small business retroactive relief, § 280C elections, and superseding 2024 returns.
Rev. Proc. 2025-32	2026 inflation-adjusted amounts, including \$15 million estate exclusion, QBI thresholds, § 179 amounts, § 461(l), § 448(c), foreign gift reporting, § 2801 exclusion amount, and foreign earned income exclusion.
IRS estate and gift tax update page	IRS confirmation of OBBBA § 2010(c)(3) change, 2025/2026 basic exclusion and annual exclusion amounts, Form 709 e-file updates, and § 2801 final regulation implementation.
Notice 2026-11 release	Interim guidance on 100% additional first-year depreciation under amended § 168(k).
Notice 2026-16 release	Interim guidance on qualified production property under § 168(n).
IRS Form 1099-K OBBBA FAQ	IRS FAQ confirming restoration of the >\$20,000 and >200 transaction threshold.
IRS ERC OBBBA FAQ	IRS guidance on section 70605(d), ERC claim limitation, Letter 105-C, and appeal rights.
Instructions for Form 3520	Who must file Form 3520, foreign trust and foreign gift reporting, due dates, § 6677 and § 6039F penalties, and exceptions.
IRS foreign trust reporting requirements	IRS overview of Forms 3520/3520-A, foreign trust income tax consequences, exceptions, and related reporting.
Instructions for Form 708	§ 2801 reporting and payment procedures for covered gifts and covered bequests from covered expatriates.
IRS foreign gifts page	Foreign gift thresholds, Form 3520 due dates, § 6039F penalties, and reporting cautions.
IRS FBAR page	FBAR filing threshold, filers, due dates, late filing, recordkeeping, and penalty overview.
Connelly v. United States	Supreme Court holding on closely held corporation valuation and life-insurance-funded redemption agreements.

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Client advisory summary

Federal tax planning for closely held businesses changed materially beginning in tax year 2025. The One, Big, Beautiful Bill Act made several business-friendly provisions permanent or more generous, including 100% bonus depreciation for qualifying property acquired after Jan. 19, 2025, higher § 179 expensing, current expensing for domestic research and experimental costs, and continued QBI planning for pass-through owners ([Public Law 119-21](#); [Rev. Proc. 2025-28 in IRB 2025-38](#)). At the same time, several provisions require precise timing, elections, method changes, or documentation, so the planning benefit depends on implementation rather than headline rules ([Rev. Proc. 2025-28 in IRB 2025-38](#)).

Business owners should review 2025 capital expenditures, R&E costs, pass-through income, S corporation wages, estimated taxes, retirement contributions, and owner-level deductions before year-end. S corporation shareholder-employees should maintain reasonable-compensation support because IRS guidance treats corporate officers performing services as employees whose service payments are wages ([IRS S corporation officer compensation guidance](#)). Partnerships with active limited partners should review whether distributive shares may be

exposed to self-employment tax under current functional-analysis controversy trends ([Current Federal Tax Developments](#)).

Estate planning also changed. The federal basic exclusion amount is \$13,990,000 for 2025 and increases to \$15,000,000 for 2026 under OBBBA ([Rev. Proc. 2024-40](#); [IRS estate and gift tax update page](#)). This reduces sunset urgency but does not eliminate the need for succession planning, valuation work, grantor trust planning, family entity documentation, or buy-sell agreement review. Closely held business owners should specifically revisit life-insurance-funded redemption agreements after the Supreme Court's Connelly decision ([Connelly v. United States](#)).

Internationally connected families and owners should treat foreign gifts, foreign trusts, foreign accounts, and foreign entities as annual compliance review items. Form 3520, Form 3520-A, Form 8938, FBAR, Form 708, and foreign tax credit forms may apply even when a transfer is not subject to U.S. income tax ([IRS foreign trust reporting requirements](#); [Instructions for Form 708](#)). The penalty exposure for missed foreign trust and foreign gift reporting can be severe, so intake questionnaires should ask specifically about foreign inheritances, foreign family gifts, foreign pensions, foreign trusts, non-U.S. accounts, and donors or decedents who may have expatriated from the United States ([Instructions for Form 3520](#); [IRS foreign gifts page](#)).